

**CONSTITUTIO
N OF
FLOW FOUNDATION SA**

1. NAME OF THE ORGANISATION

- 1.1 The organisation shall be known as the FLOW FOUNDATION SA (hereinafter referred to as "FLOW FOUNDATION").

2. LEGAL NATURE OF THE ALLIANCE

- 2.1 FLOW FOUNDATION shall be a voluntary, non-profit association with perpetual succession, independent of its members, capable of entering into contractual and other relations, of suing and being sued, and owning property in its own name.
- 2.2 FLOW FOUNDATION alone, and not its members, is liable for its debts and commitments.
- 2.3 FLOW FOUNDATION may affiliate to any organisation that serves its cause.

3. DEFINITIONS

- 3.1 *Member* means any registered non-profit ECD organisation or individual that subscribes to the aims of FLOW FOUNDATION and this Constitution and who is granted member status.
- 3.2 *Management Board* means the Management Board constituted in terms of clause 7.
- 3.3 *Early Childhood Development (ECD)* means the processes by which young children from birth to at least nine years of age grow, thrive and develop to their full cognitive, emotional, social and physical potential.
- 3.4 *Office-bearers* means the Chairperson, Deputy Chairperson and Treasurer of the organisation.

4. AIMS

- 4.1 The principle aims of FLOW FOUNDATION are to build a better future and promote access to ECD facilities for children in need's access to ECD. This objective shall be achieved by, *inter alia*
- 4.1.1 Strengthening the capacity of FLOW FOUNDATION members to serve and advocate for children, families and communities;
- 4.1.2 Encouraging continuous professional growth of educators working with young children;
- 4.1.3 Raising public awareness of the rights and needs of all young children, in particular addressing inequality and the needs of those who are most disadvantaged;

- 4.1.4 Promoting national strategies, programmes and practices to support the development of children from birth to nine years;
- 4.1.5 Developing a national network for sharing resources, materials, skills, knowledge and experience;
- 4.1.6 Building resource mobilisation capacity by providing training, advice and learning opportunities;
- 4.1.7 Advocating for public policies and an enabling environment to encourage growth of ECD;
- 4.1.8 Being a leading voice advocating quality, affordable ECD provision for all;
- 4.1.9 Stimulating investment in ECD
Encouraging partnerships among communities, schools and business leaders to improve early childhood development;
- 4.1.10 Lobbying for allocation of resources for young children and their families;
- 4.1.11 Lobbying for the development, implementation and monitoring of high quality national standards for ECD provision;
- 4.1.12 Strengthening the ECD voice internationally; and
- 4.1.13 Working in collaboration and partnership with other ECD organisations.
- 4.2 These objectives of FLOW FOUNDATION shall be carried out in a non-profit manner, and with an altruistic or philanthropic intent.

5. POWERS

- 5.1 The Foundation shall have all the legal powers and capacity of an individual necessary to achieve its main and supplementary objects:
 - 5.1.1 except to the extent necessarily implied by its stated objects;
 - 5.1.2 subject to such restrictive conditions and other limitations or qualifications, as are contained in this constitution.
- 5.2 The powers of the Foundation may only be executed in accordance with the main objectives of the Foundation.

6. MEMBERS AND MEMBERSHIP

- 6.1 Members of the Foundation shall be registered non-profit ECD organisations and individuals that support the aims and policies of the Foundation and that have been accepted as members as provided in this Constitution.

Members of the Foundation shall be made up of:

- 6.1.1 Individuals or organisations comprising of academics, researchers, specialists and ECD consultants as support the work of the Foundation.

6.2 Representatives of members

- 6.2.1 Members which are not individuals (Organisation members) shall select and notify the Foundation of the name and contact details of the person selected by them to attend meetings, represent the views of the member.

- 6.2.2 Organisation members shall notify the Foundation of any change in the representative or of their contact details.

6.3 Termination of Membership

- 6.3.1 A member shall cease to be a member of the Foundation if:

- 6.3.1.1 The member resigns or withdraws support by written notice to the Management Board;

- 6.3.1.2 If it is an Organisation member and the organisation ceases to exist;

- 6.3.1.3 The Management Board decides to expel any member from the Foundation when, in the opinion of the Management Board, such a member has materially contravened any of the objectives or resolutions of the Foundation;

6.4 Good Governance and Best Practice

- 6.4.1 All Foundation members must implement good governance and best practice in all their work.

7. STRUCTURE OF THE FOUNDATION**7.1 Management Board**

- 7.1.1 The leadership, management and administration of the Foundation shall vest in a Management Board, comprising of five members. No single person shall directly or indirectly control the decision-making powers of the Foundation.
- 7.1.2 The Management Board shall represent the Foundation in a responsible and appropriate manner.
- 7.1.3 The Foundation shall elect a Chairperson, a Deputy Chairperson and a Accounting Officer
- 7.1.4 Any Member of the Management Board will be held accountable should they not fulfill their obligatory duties.

7.2 Powers and Duties of the Management Board

7.2.1 The Management Board shall manage all the business and affairs of the Foundation. The Management Board shall have full power and authority to carry out all the aims of the Foundation. The Management Board shall more particularly:

7.2.1.1 Interpret, implement and promote the aims of the Foundation;

7.2.1.2 Obtain support, financial or otherwise, for the Foundation provided that the Foundation shall be prohibited from accepting any donation which is revocable at the instance of the donor for reasons other than a material failure to conform to the designated purposes and conditions of such donation, including any misrepresentation with regard to the tax deductibility thereof in terms of section 18A of the Act: Provided that a donor (other than a donor which is an approved public benefit organisation or an institution, board or body which is exempt from tax in terms of section 10(1)(cA)(i), which has as its sole object or purpose the carrying out of any public benefit activity) may not impose conditions which could enable such donor or any connected person in relation to such donor to derive some direct or indirect benefit from the application of such donation;

7.2.1.3 Network and liaise with other relevant organisations;

7.2.1.4 Administer the financial affairs of the Foundation.

7.2.1.5 Decide what amount should be retained for programme expenses; operate a current banking account with a registered bank selected by it in the name of the Foundation, operate any other accounts that, in the opinion of the Management Board, are necessary for the due and proper administration of the financial affairs of the Foundation; and nominate at least two persons to sign any cheque drawn on such account or accounts or authorise any transaction;

7.2.1.6 Ensure that financial procedures and protocols (including a detailed delegation of authority frameworks) are put in place, reviewed regularly, and adhered to by the members of the Foundation.

7.2.1.7 Enter into such contracts and engage in such transactions as may be necessary to achieve its objectives;

7.2.1.8 Employ any person in the interests of the Foundation and remunerate and terminate such employment accordingly provided that the Foundation will not pay any remuneration, to any employee, office bearer or other person which is excessive, having regard to what is generally considered reasonable in the sector and in relation to the service rendered, and will not economically benefit any person in a manner which is not consistent with its object;

- 7.2.1.9 Develop and enforce employment policies and procedures in relation to employed staff;
- 7.2.1.10 Register the name and, if necessary, the Constitution and Rules of the Foundation under any law;
- 7.2.1.11 Institute and defend in the name of the Foundation, any legal proceedings brought on behalf of or against the Foundation and provide assistance to any individual member of the Foundation in the institution or defence of any legal proceedings, provided that such action is at the discretion of the Management Board;
- 7.2.1.12 Delegate any of its powers to a sub-committee of the Management Board;
- 7.2.1.13 Have the power to terminate the membership of any member in terms of the provisions of clause 6.3.1.3.

7.3 Meetings of the Management Board

- 7.3.1 A meeting of the Management Board shall be convened by the Chairperson or at the request of any four Management Board members who advise the Chairperson of the purpose for which they desire such meeting to be convened. The competency of the Management Board to make such decisions at such meetings shall not be limited to the matter or matters for which it was convened.
- 7.3.2 The Management Board shall meet at least once per quarter.
- 7.3.3 One week before any meeting of the Board, a written agenda shall be circulated to all members of the Management Board, unless at the meeting immediately preceding the Management Board unanimously resolved that it would not be necessary to circulate such an agenda. Such agenda will include the confirmation of the minutes of previous meeting and the possibility of discussing any unscheduled business as provided for in 7.3.1 above.
- 7.3.4 All Management Board meetings shall be presided over by the Chairperson or in the absence of the Chairperson, by any other person nominated by the other members of the Management Board.
- 7.3.5 Four members of the management board of the Management Board shall constitute a quorum.
- 7.3.6 Any matter before the Management Board shall be resolved by a simple majority of those present and voting.

- 7.3.7 A written resolution, signed by sufficient of the Management Board members to constitute a quorum, shall be as valid and effectual as if it had been passed at a meeting of the Management Board duly called and constituted. These resolutions shall be recorded and ratified at a subsequent meeting of the Management Board at which there is a quorum.
- 7.3.8 Minutes shall be taken at all Management Board meetings and shall be available for inspection by any interested member.
- 7.3.9 Failure to attend three consecutive committee meetings without apology shall render a member of the Management Board liable for removal from office by vote of the Management Board.

7.4 Termination of Office

- 7.4.1 A member of the Management Board shall cease to hold office if:
- 7.4.1.1 The member resigns;
- 7.4.1.2 The member fails to attend three consecutive meetings of the Management Board without an apology and is removed in terms of clause 7.3.9;
- 7.4.1.3 The Management Board decides to remove the member from office for a valid reason after having given the member the opportunity to make representations against such removal to the Management Board.

7.5 Liabilities and Limitation of Liability in Respect of the Management Board

- 7.5.1 The Management Board or individual members thereof shall be and are hereby indemnified from and against all losses, charges, costs, damages and all and every other expense and liability which they may incur in the exercise or performance of or the omission to exercise or perform any power or duty conferred or imposed on them in terms of this Constitution, unless such an act or omission was in bad faith, willful or grossly negligent. In addition, none of the Management Board members shall be held responsible for any act or default of any one or other of them.
- 7.5.2 No member, office or employee shall unilaterally bind the Foundation in any transaction, negotiation, statement or action without the express authority of the Management Board. In the event of any person contravening this provision, the Foundation may, after a proper motion to that effect has been considered and passed by the Management Board, call upon the member organisation to replace such person with another representative.
- 7.5.3 Membership of the Foundation shall not entitle any member to any proprietary right, title or claim to any assets of the Foundation.
- 7.5.4 No member of the Management Board or any employee shall have any financial or other interest in or obtain any benefit, direct or indirect, from any contract that the Foundation may conclude with any person. The Management Board may allow exceptions to this rule after full consultation and disclosure of the interests concerned to the Management Board.

8. MEETINGS OF MEMBERS

- 8.1 An Annual General Meeting shall be held every year at such date and venue as determined by the Management Board and upon not less than 21 days' prior written notice given to members. This notice shall include an agenda, the financial statements and a report from the Chairperson.

8.2 Proceedings at the Annual General Meeting

- 8.2.1 The Annual General Meeting shall:
- 8.2.1.1 Adopt the minutes of the previous Annual General Meeting;
 - 8.2.1.2 Receive and consider the Chairperson's report and financial statements for the preceding years;
 - 8.2.1.3 Consider any reports received from sub-committees.
 - 8.2.1.4 Consider any notice of motion which has been submitted in writing, and which has to be submitted at least 21 days prior to the Annual General Meeting;
 - 8.2.1.5 Transact any other business.

8.3 General Procedures

- 8.3.1 A quorum at any Annual General Meeting or Extraordinary General Meeting shall be 4 members of the management board.
- 8.3.2 If there is no quorum at the stipulated time of the meeting, and the meeting is an Annual General Meeting, then the meeting shall be adjourned for a further period agreed to by those present, provided that no less than seven days' notice in writing is given to all members of the date, time and

venue to which the meeting is adjourned. At the adjourned meeting all of those members present and voting shall constitute a quorum.

- 8.3.3 The Foundation Chairperson shall chair meetings. In the absence of the Chairperson of the Foundation, the Deputy Chairperson shall chair meetings. In the absence of the Chairperson, then by another person appointed by the Management Board.
- 8.3.4 Every organisation member represented at the meeting shall have one vote.
- 8.3.5 Organisation Members must vote by proxy, provided that written verification of the consent of the absent member is available at the time of voting.
- 8.3.6 Decisions will be taken by a simple majority.
- 8.3.7 Minutes of the meeting and an attendance register will be kept. These will be open for inspection by members.

9. FINANCIAL AFFAIRS

- 9.1 Any income and property of the Foundation shall be applied solely towards the promotion of its aims for furtherance of these objects and no funds will be distributed to any person other than in the course of undertaking any 'public benefit activity' (as defined in the Act).
- 9.2 No portion of the income or property shall be paid or transferred, whether directly or indirectly, to any member or members of the Foundation or any other person or persons, provided that nothing herein contained shall prevent the payment in good faith of reasonable remuneration to any officer of the Foundation or any other member or any other person in return for any services actually rendered to it or in payment of any monies disbursed on its behalf by such a person.
- 9.3 No activity of the Foundation will directly or indirectly promote the economic self-interest of any office-bearer or member of the Foundation, otherwise than by reasonable remuneration.
- 9.4 The Foundation shall be prohibited from using its resources directly or indirectly to support, advance or oppose any political party.
- 9.5 The Foundation shall comply with such reporting requirements as may be determined by the Commissioner for the South African Revenue Service from time to time under section 30(3)(e) of the Act.
- 9.6 The Board shall authorise signatories to operate the banking account of the Foundation, and at least two of such appointed signatories shall be required to authorise (with two individual secure private passwords), any transaction conducted through the banking account.
- 9.7 The Financial Officer will ensure that the accounts of the Foundation are open to inspection at reasonable request of any member of the Foundation.

- 9.8 An Accounting Officer shall be appointed by the members in an Annual General Meeting to report on the accounts of the Foundation at the end of the financial year as stipulated in clause 8.2.
- 9.9 The financial year of the Foundation shall run from 01 March to 28 February of each following year.

10. AMENDMENTS TO THE CONSTITUTION

- 10.1 The Constitution may only be amended at an Annual General Meeting by way of a special resolution to amend the Constitution at which 80% of those present and voting are in favour of the amendment. The same quorum requirements will apply as set out in clauses 8.4.1 and 8.4.2.
- 10.2 30 days' notice of any proposed amendment to the Constitution shall be given to all members.
- 10.3 The notice convening the meeting at which the motion to amend this Constitution is put forward, shall set forth the proposed amendment or amendments to the Constitution in detail.
- 10.4 Copies of such amendments shall, if the Foundation is exempted from payment of normal tax or authorised to issue receipts under s18A of the Act, be sent for their records to the Commissioner for the South African Revenue Services or his authorised representative.
- 10.5 Copies of such amendments shall, if the Foundation is registered as a non-profit organisation, be sent to the Directorate of Non-Profit Organisations.

11. DISSOLUTION

- 11.1 The Foundation shall be dissolved by a resolution at an Annual General Meeting at which 80% of those present and voting are in support of such dissolution. The same quorum requirements as set out in clauses 8.4.1 and 8.4.2 will apply.
- 11.2 The notice convening a meeting to discuss such resolution shall state that a motion to dissolve the organisation is to be placed before the meeting.
- 11.3 The notice shall be sent to all members via electronic communication.
- 11.4 Upon the dissolution of the Foundation, the Management Board shall ensure that the debts and liabilities of the Foundation shall be discharged from the funds and assets of the Foundation. The funds and assets remaining thereafter shall be donated to any non-profit ECD organisation situated in South Africa having similar objects to the Foundation, as designated and decided upon by the Management Board and which, if the Foundation is exempt from income tax, donations tax and estate duty, under the relevant laws of the country is/are:
- 11.4.1 any similar public benefit organisation, which has been approved in terms of section 30 of the Income Act, 1965, ("the Act");
- 11.4.2 any institution, board or body which is exempt from income tax in terms of section 10(1) (cA)(i) of the Act, which has its sole or principal object the carrying on of any public benefit activity; or

if the Foundation is registered as a Nonprofit Organisation, which are themselves registered as Nonprofit Organisations.

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CHAIRPERSON

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DESIGNATED BOARD MEMBER